Global Views: They're Not Hiking

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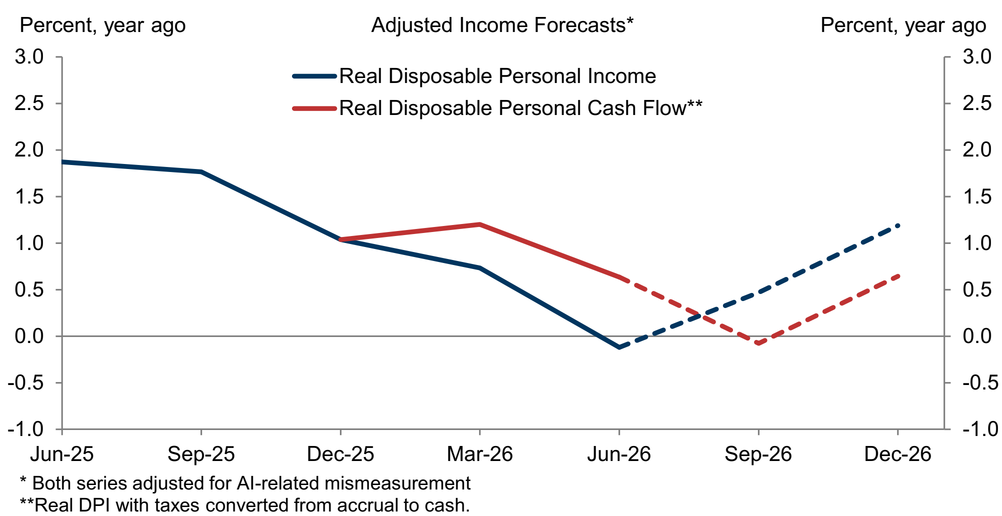
1. Although the drop in US retail sales in July partially reflects payback for an earlier-than-usual Amazon Prime day, the revised path now looks much more consistent with our view that the strength of real consumer spending in the spring was the temporary byproduct of the tax refund surge, and that real spending growth will slow to 1-1.5% in H2 as real cash flow stagnates. Moreover, the risks to this forecast are on the downside because the Strait of Hormuz remains closed and a renewed spike in gasoline prices would further hurt consumers, especially those with lower and middle incomes. Strong business investment and the lagged effects from earlier large equity wealth gains should continue to support overall GDP growth, but we feel comfortable with our view that the pace will remain slightly below potential.

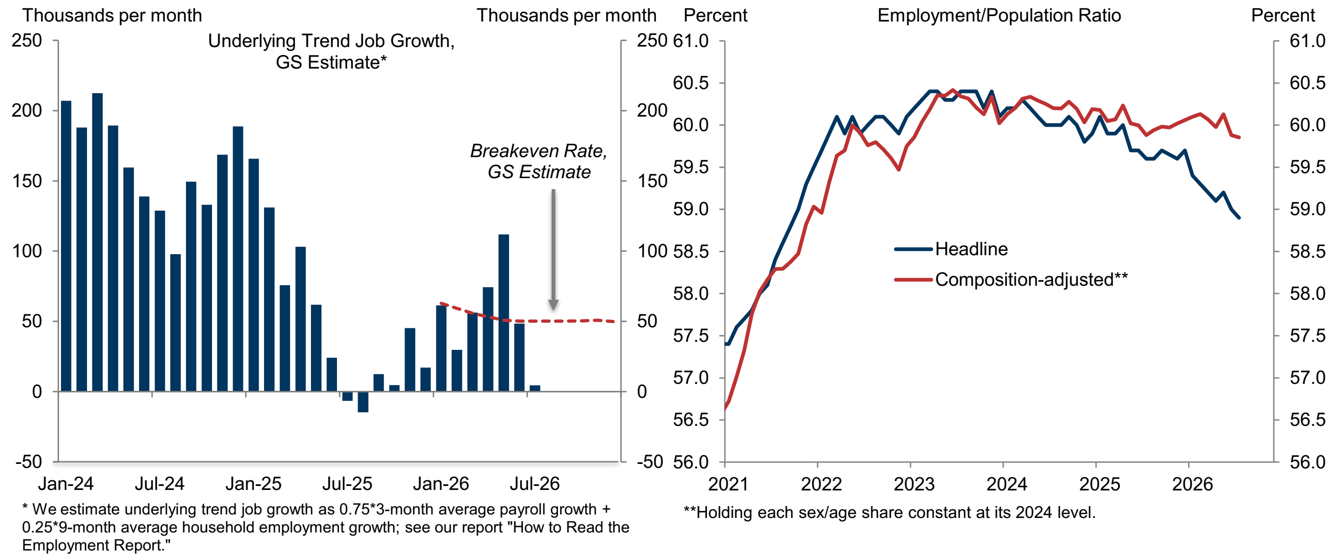
Exhibit 1: Weakness in Real Income and Cash Flow Weighs on Consumption



Source: Goldman Sachs Global Investment Research

2. With nonfarm payrolls and household employment down on the month, our estimate of underlying trend job growth slowed further to just 5k in July. Since this is below our estimate of breakeven job growth of 50k, similar numbers in coming months would probably reverse some of the decline in the unemployment rate from 4.5% in December to 4.1% in July. We think this decline deserves less weight than it normally would because it has been driven by lower labor force participation, not higher employment. This is visible not only in the headline employment/population ratio (whose sharp decline is partly driven by changes in the age structure of the population) but to some degree also in a composition-adjusted version that holds the age structure constant over time. The continued weakness in wage growth also argues against the notion that the labor market is tightening.

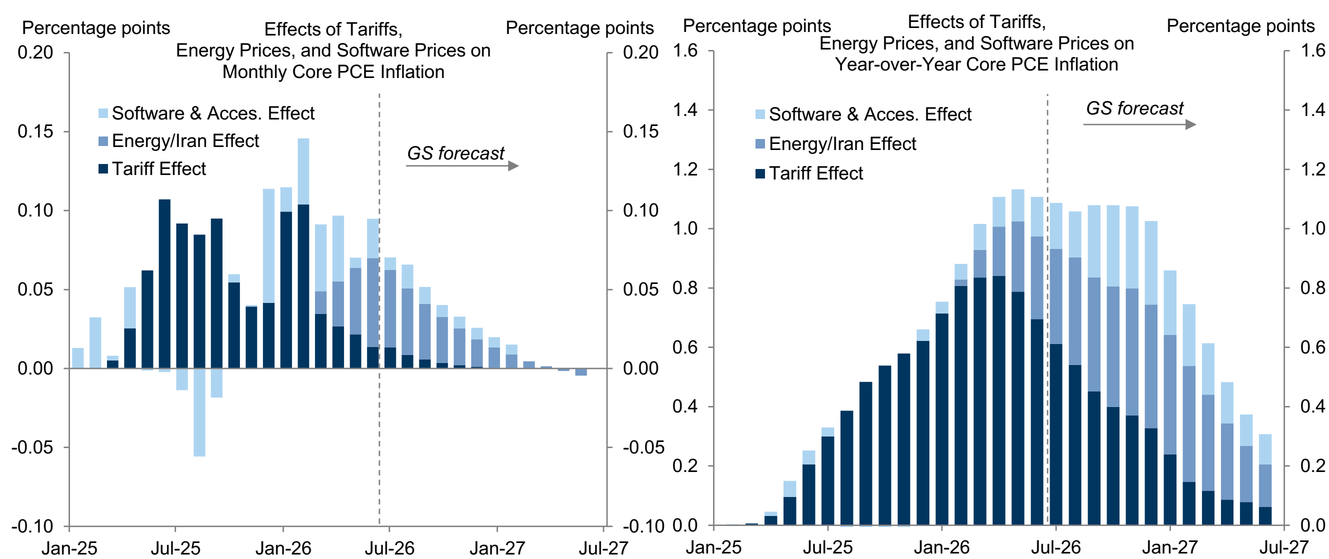
Exhibit 2: The Labor Market Is Not Tightening, Despite Lower Unemployment



Source: US Bureau of Labor Statistics, Haver Analytics, Goldman Sachs Global Investment Research

3. The US inflation news has improved meaningfully in the past two months. Following a 0.13% increase in June, core PCE is on track for 0.20% in July, with more than half of this gain coming from portfolio management services. That category is not only poorly measured and defined—most people don't view paying a constant percentage fee on a growing portfolio as a price increase—but will also get revised repeatedly in coming months, with a large downward revision coming at the end of September. With other temporary inflation drivers such as tariffs, software/accessories, and energy likely to subside as well—some soon, others later—we continue to expect core PCE inflation to fall to near 2% in 2027.

Exhibit 3: The Impact of Temporary Inflation Drivers Such as Tariffs, Software, and Energy on Year-on-Year Core PCE Inflation Should Improve Sharply Over the Next Year

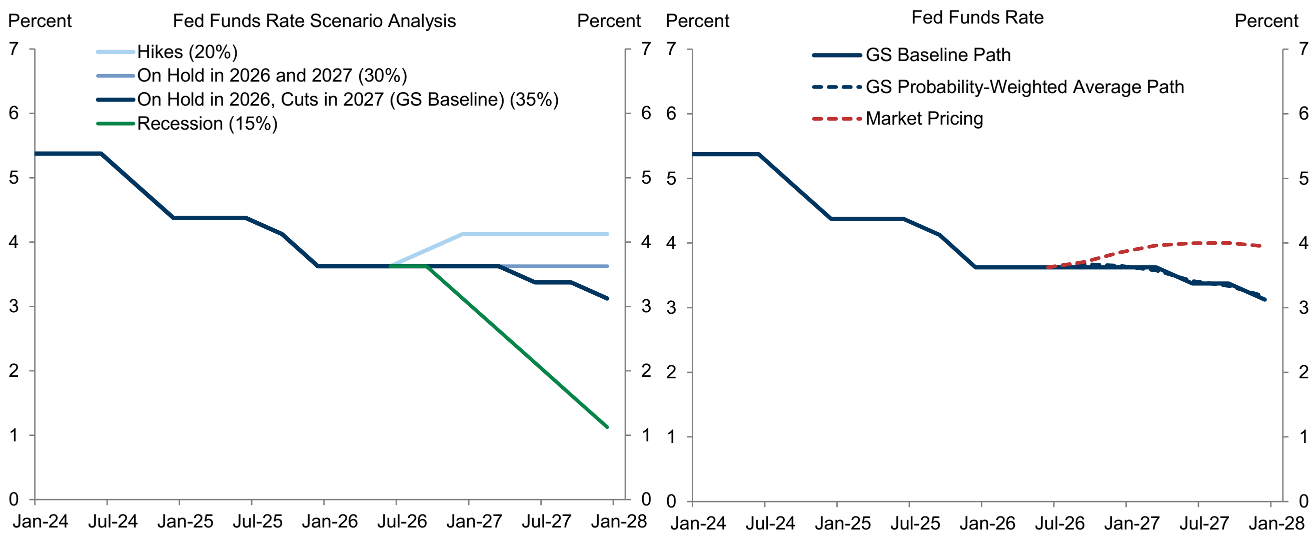


Source: Goldman Sachs Global Investment Research

4. Although 9 of the 18 FOMC participants that submitted dots at the June meeting projected hikes in 2026, we estimated at the time that only 4-5 of the 12 voting FOMC

members fell into this group. Since then, the hawks have become louder, with three outright dissents at the July meeting. But after two months of materially softer jobs and inflation data, it's hard to see any of the doves shifting toward hikes. Therefore, a hike at the September meeting has become very unlikely, barring a dramatic shift in the tone of the August data due in early September (which we don't expect). And under our baseline economic forecasts, the inflation news is more likely to improve further than to deteriorate anew as the year progresses. Hence, we still think market pricing for the funds rate is too hawkish.

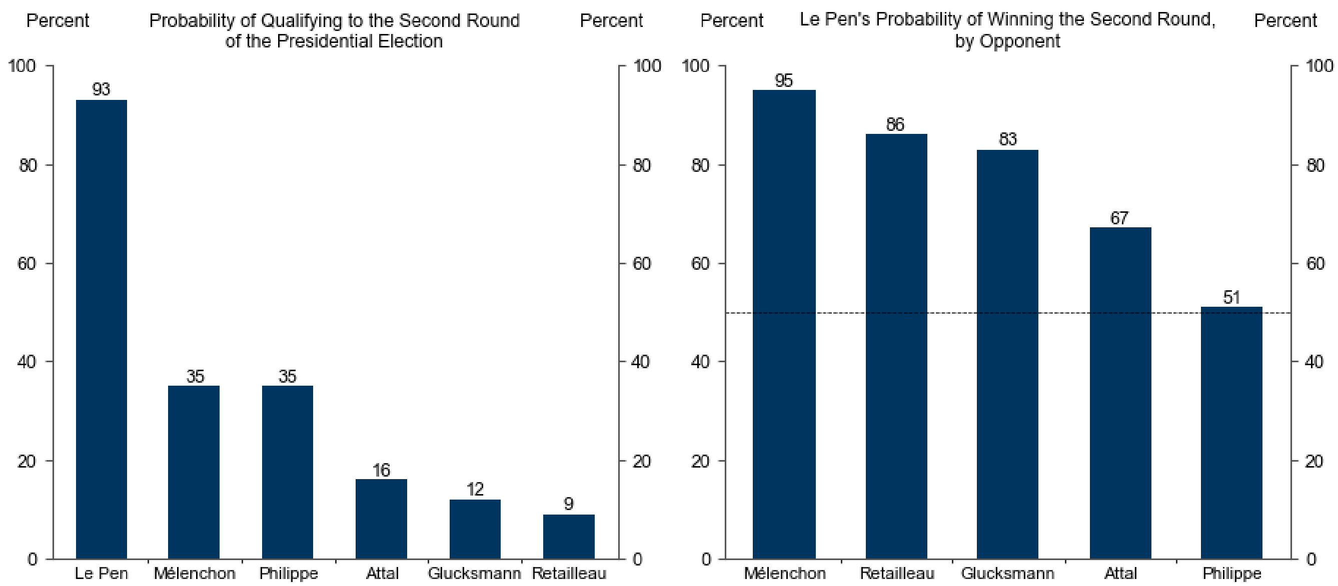
Exhibit 4: Fed Pricing Has Turned Less Hawkish, But There Is Further to Go



Source: Bloomberg, Goldman Sachs Global Investment Research

5. With energy prices high but core inflation only modestly above target, we remain comfortable with our call that the ECB will hike by 25bp in September but that the next move is down (we think in mid-2027). Beyond the cyclical news, attention is shifting to the 2027 French presidential election, with the first round on April 18 and the runoff among the top two candidates on May 2. Our new poll-based model shows that far-right Marine Le Pen currently has about a two-thirds chance of becoming president. The runoff will be competitive if her second-round opponent is former prime minister Edouard Philippe (whose first-round polls currently put him in second place behind Le Pen) or another centrist. But Le Pen will almost certainly win if she faces far-left Jean-Luc Melenchon (whose first-round polls put him in third place but who has a history of outperforming his polls).

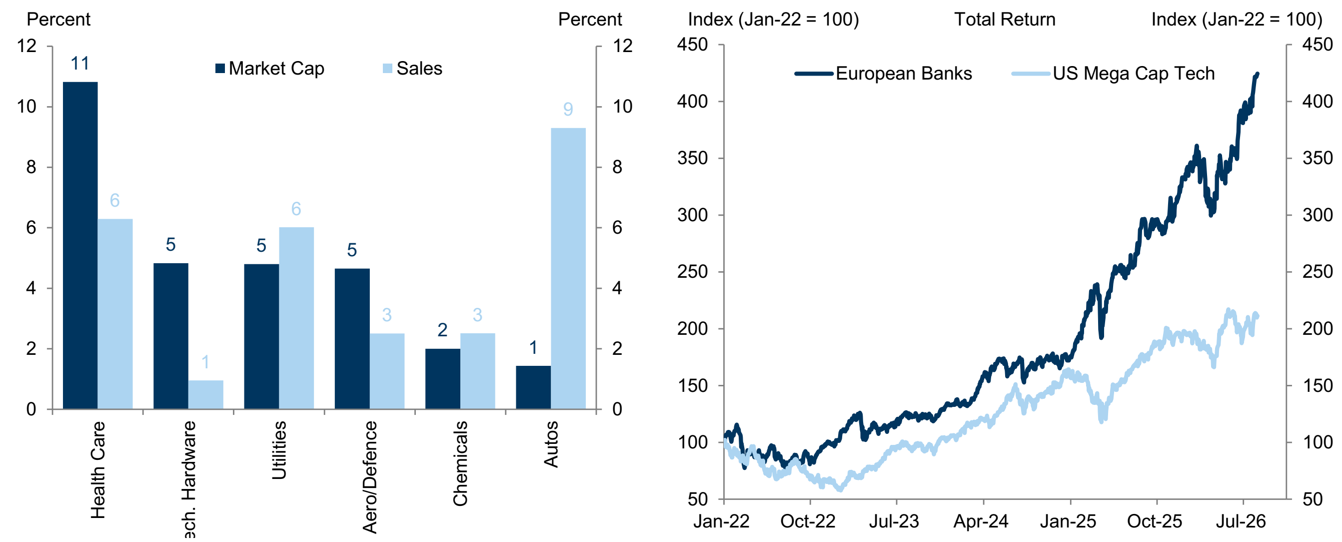
Exhibit 5: Marine Le Pen Is the Frontrunner, and Will Almost Certainly Win if Melenchon Reaches the Runoff



Source: Goldman Sachs Global Investment Research

6. European (including UK) equities have performed—and could continue to perform—much better than the often-downbeat economic discussion suggests, for two reasons. First, much of the weakness in European GDP growth comes from sectors that aren't important for the stock market (e.g. autos represent just 1% of market cap) or from forces that look very different from the vantage point of the stock market as opposed to the broader economy (e.g. higher oil prices are bad for European GDP but good for European stocks given the large index weight of oil producers). This is the key reason why earnings per share in the Stoxx 600 grew 14% in H1 despite nominal GDP growth of only 3.3% (and real GDP growth of 0.7%). Second, the growth gap with the US is matched by lower valuations. Partly for this reason, the Stoxx 600 has outperformed the S&P 500 over the past 18 months, while European Banks—the leading sector—have massively outperformed US megacap tech since 2022. A good part of this outperformance is a one-off re-rating, but European valuations remain reasonable.

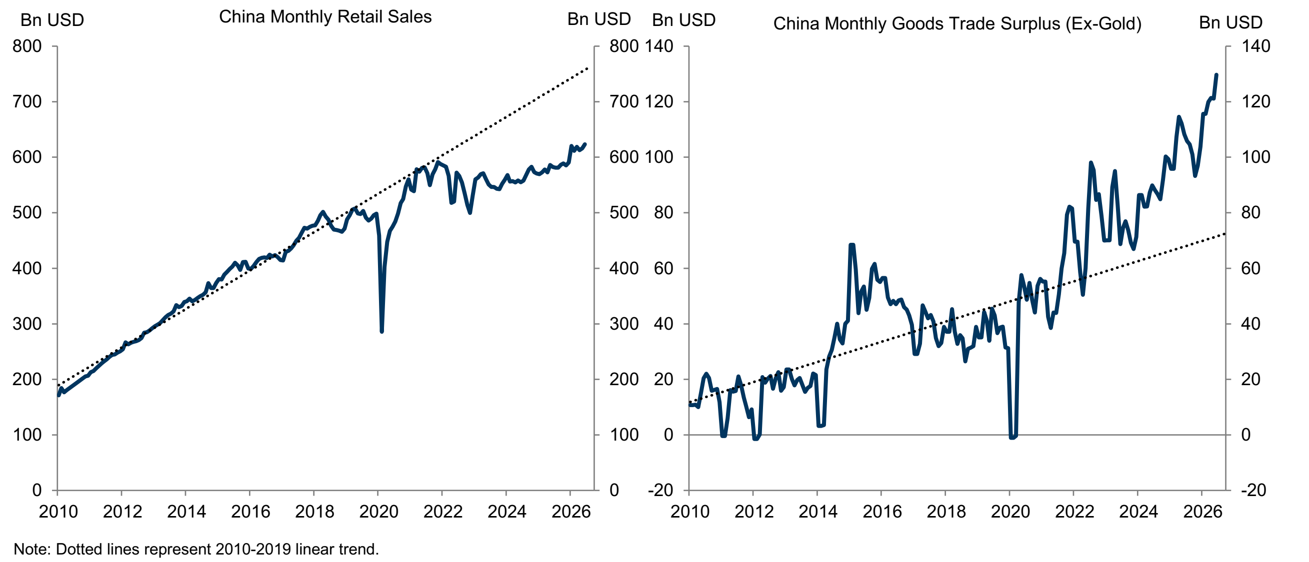
Exhibit 6: The Stoxx 600 Is Concentrated in Stronger Sectors; European Banks Have Surged Since 2022



Source: Datastream, Goldman Sachs Global Investment Research

7. Whether resolving China's economic imbalances requires a stronger RMB or stronger domestic demand is a false dichotomy. On our estimates, the RMB is at least 20% undervalued, and China's ongoing gains in manufacturing competitiveness—i.e., the ongoing decline in China's producer prices relative to US or global producer prices—boost that number every year unless the nominal exchange rate appreciates commensurately. It is therefore hard to see how external balance could ever be achieved without a large nominal exchange rate appreciation. That said, the weakness in domestic demand already threatens to push growth well below potential, and a stronger RMB would take an additional toll. The classic solution to this quandary—first suggested by Australian economist Trevor Swan in the 1950s—is an exchange rate appreciation combined with a domestic demand boost (e.g. via an expanded social safety that makes consumers more comfortable spending). Such a combination of policies could move China's economy closer to external balance without undermining growth and employment.

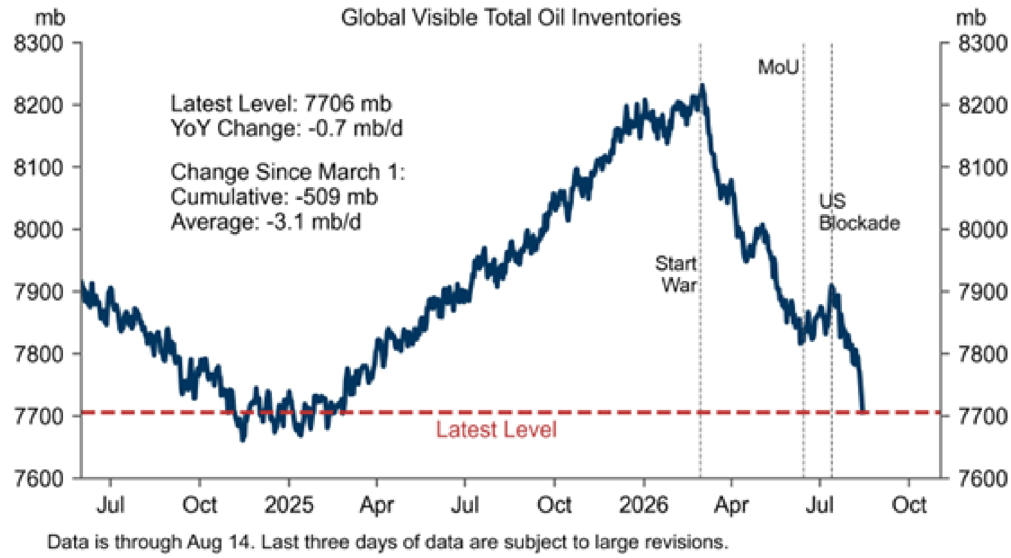
Exhibit 7: China Needs a Stronger Currency as Well as Stronger Domestic Demand



Source: Haver Analytics, Goldman Sachs Global Investment Research

8. Our rates strategists expect the US Treasury curve to steepen further on the back of better inflation news, reduced hike premium, and troubling budget news. Great Q2 earnings and a stabilization in the AI trade have helped equity markets make new highs, and our equity strategists expect the major indices to continue trending higher into yearend. Our credit strategists note that AI-related spreads are likely to keep climbing alongside heavy issuance of data center debt. Our FX strategists think the benign global inflation news should prolong the "summer of carry", supporting higher yielding currencies such as the US dollar relative to lower yielding substitutes such as the Canadian dollar or the euro relative to the Swiss franc. Despite historic intervention efforts, the Japanese yen still falls into the latter category without a more meaningful shift in the domestic policy mix than we think is likely or warranted. Finally, our commodity strategists note that with global oil demand recovering, inventories are again falling quickly and will reach all-time lows (in a series available back to 2018) if the Strait of Hormuz doesn't reopen soon.

Exhibit 8: Global Oil Inventories Still Set to Reach Historic Lows If the Strait Doesn't Reopen Soon



Source: IEA, Kpler, DOE, Euroilstocks, ARA PJK, PAJ, Haver, Refinitiv Eikon, Goldman Sachs Global Investment Research

Jan Hatzius

Disclosure Appendix

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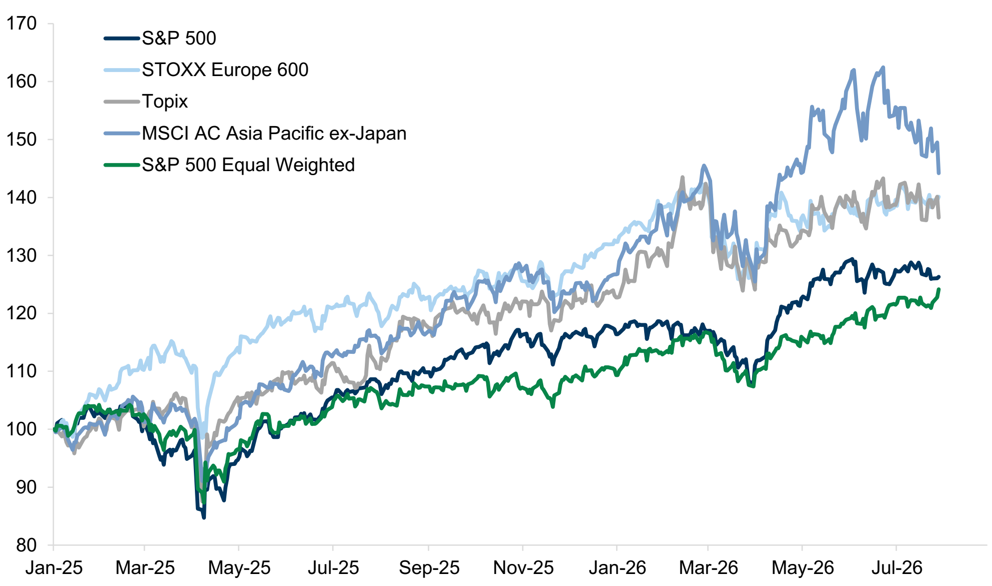
GLOBAL STRATEGY VIEWS

Momentum, rotation and the value in growth

1. In early 2025 we argued that a series of dynamics would broaden out the returns available for investors, increasing the rewards to diversification. In the fifteen years that followed the financial crisis, equity markets were very bifurcated. The US equity market dominated regionally, Technology consistently outperformed sectorally, and Growth persistently outpaced Value. **Since 2025, and again through this year, the opportunity set has shifted. Equities have performed well, but the geographical spread has widened (Exhibit 1). The US has been the weakest of the major regions.**

Exhibit 1: Geographical returns have broadened, with the US lagging other major regions
World equity indices (USD), indexed price performance



Source: Datastream, STOXX, Goldman Sachs Global Investment Research

2. While the strongest returns (in local currency) have been in Japan, Asia Pacific and EM, the bulk of the returns across regions over the past year have been driven by strong earnings growth (Exhibit 2). Asia, EM and the US have all de-rated, while Japan and Europe have seen modest increases in their valuations. This is an important change from previous periods when much of the return across equities was driven by rising valuations and the support of lower interest rates. **More government debt, increased issuance, and persistent inflation have all contributed to a higher cost of capital, leaving earnings as the key driver of**

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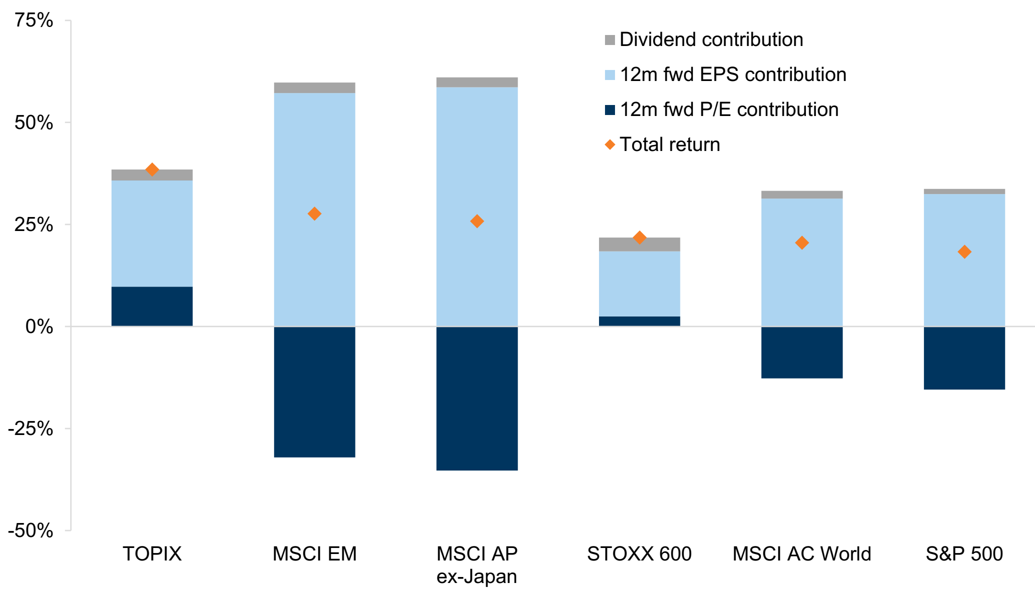
returns. We think this trend will continue.

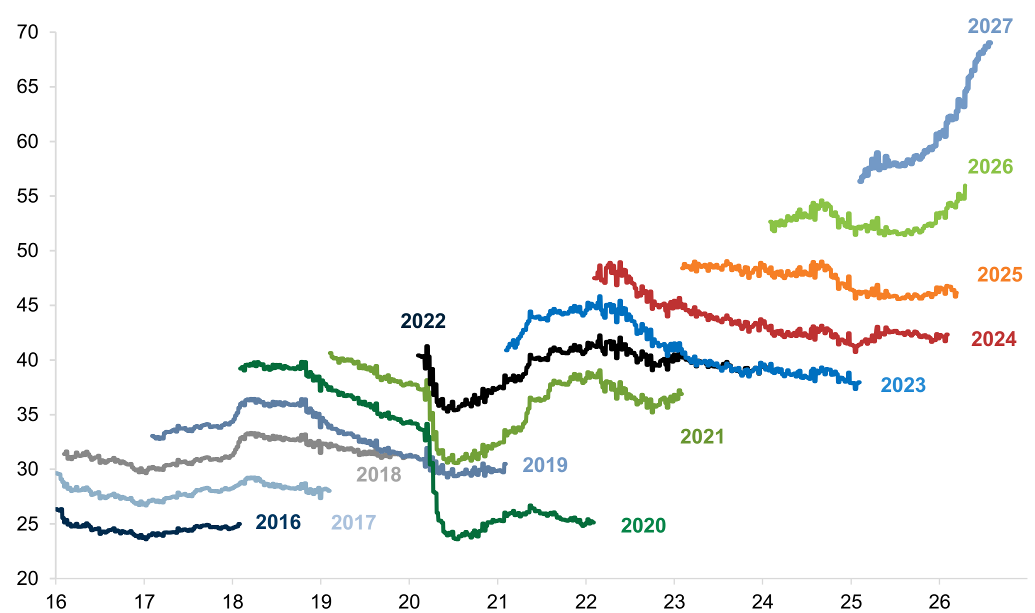
Exhibit 2: Earnings growth has been the main driver of returns across regions
12m trailing return contribution in local currency



Source: Factset, Datastream, STOXX, Goldman Sachs Global Investment Research

Rather, unusually, not only have earnings been strong but revisions have been rising (Exhibit 3), again justifying the fundamental support for equity markets.

Exhibit 3: Earnings have been strong and revisions have continued to rise
MSCI AC World EPS consensus estimates (USD)

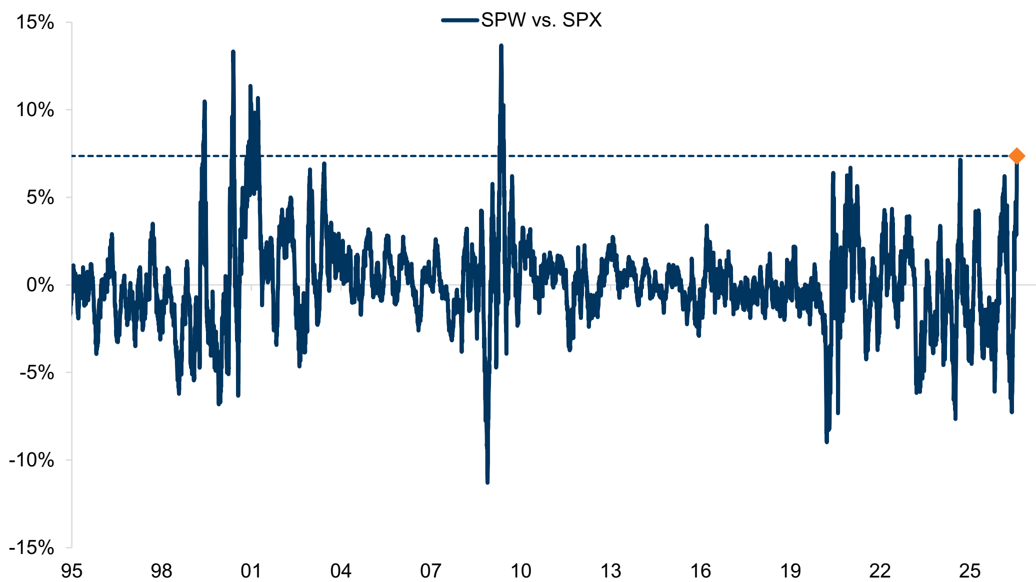


Source: FactSet, Datastream, STOXX, Goldman Sachs Global Investment Research

3. But while geographic returns have broadened, so too have opportunities across sectors and factors. We have argued that concentrated markets create problems for active managers while increasing risk for investors. Up until recently, many equity

markets had been concentrated both in market capitalization (with a few companies dominating the market) and in contribution of returns (a small number of companies driving most of the index performance). Most equity markets are now broadening. For the first time since 2009, the equally weighted S&P, for example, has outperformed the S&P 500 by more than 7.3% (Exhibit 4).

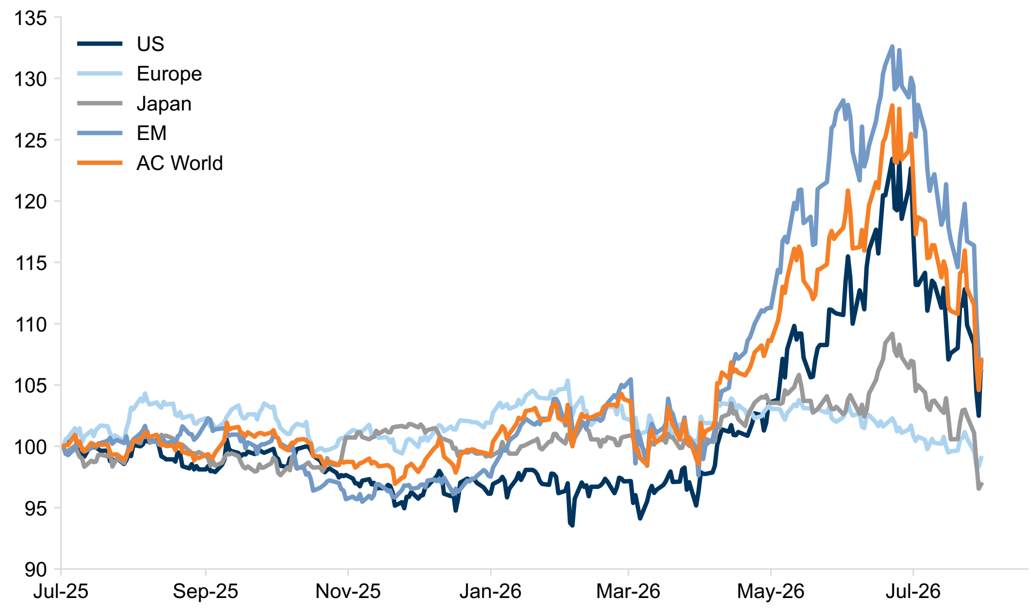
Exhibit 4: Market participation has broadened beyond the largest stocks
2m rolling returns of S&P 500 Equal-Weighted vs. S&P 500 Cap-Weighted



Source: Datastream, Goldman Sachs Global Investment Research

4. This has been supported by several factors. First, the resilience of the broader economies, particularly in the US and Europe, where the median stock has performed best. Second, the pick-up in M&A, which is attracting interest across the market, and away from the largest cap stocks. Small caps have outperformed large caps in the US. Third, the sharp momentum unwind of recent weeks has supported a widening of participation amid a rotation of leadership (Exhibit 5).

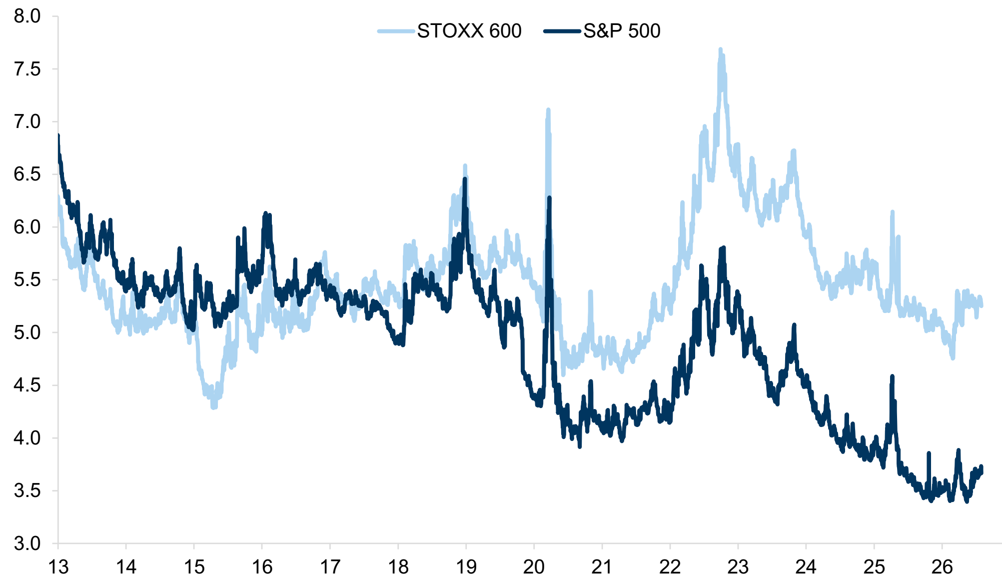
Exhibit 5: The momentum unwind has supported a rotation in market leadership
MSCI Momentum vs. Market, relative price returns (USD)



Source: Datastream, Goldman Sachs Global Investment Research

5. One of the other key reasons for these changes in market dynamics has been the dramatic rise in capex spending by the leading Tech companies. For a decade or so after the financial crisis, these companies became hugely profitable, benefiting from the surge in demand for Software and cloud computing while piggybacking off the capex that was installed in the dot.com era; they were capital light and enjoyed the valuation support driven by zero interest rates. In an era of weak nominal growth and excess capacity in many 'old economy' industries, the Technology sector's remarkable margin and ROE progression made it hugely attractive. With the introduction of ChatGPT, an explosion in capex among the hyperscalers has increasingly eroded their premium cash flows, forcing them to turn to debt and equity markets for funding. **The US equity market, dominated by the hyperscalers, has experienced a sharp decline in FCF yield relative to more value-oriented markets, such as Europe, helping to support the rotations of relative performance (Exhibit 6).**

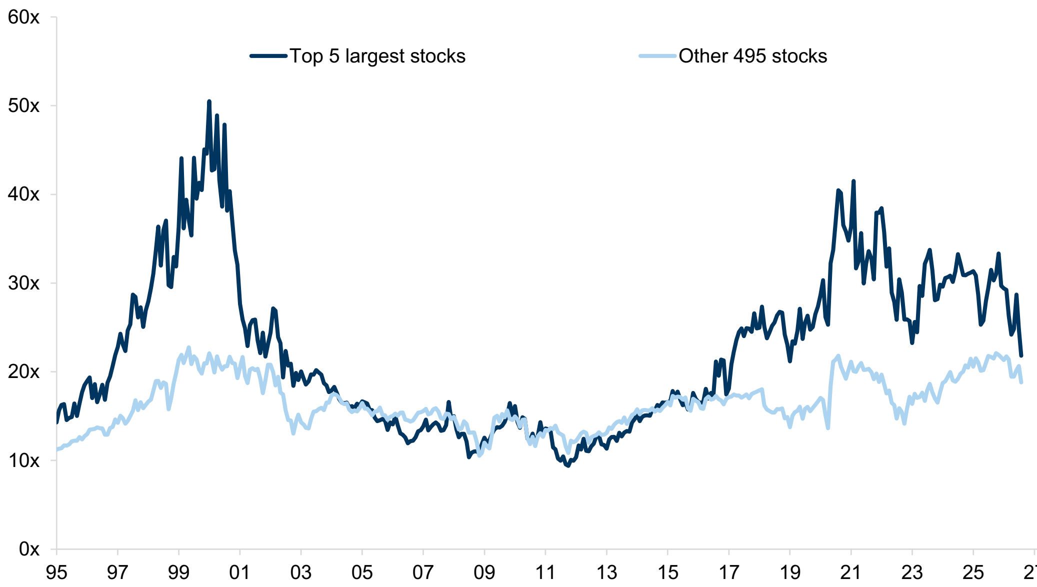
Exhibit 6: US FCF yield has been weighed down by capex spending recently
Free-Cash-Flow Yield



Source: FactSet, Bloomberg, Goldman Sachs Global Investment Research

6. Driven by a growing anxiety about the returns that the capex might generate in the future, these dominant Tech companies have de-rated. As Exhibit 7 shows, the biggest five stocks in the US now have a P/E ratio only marginally above the other 495 but had previously been on a premium consistently since 2017. It also marks a very big change from the dot.com era. Back then, valuations reached a much greater high, but they came down as stock prices collapsed. This time, prices have adjusted more modestly, but earnings have remained exceptionally strong.

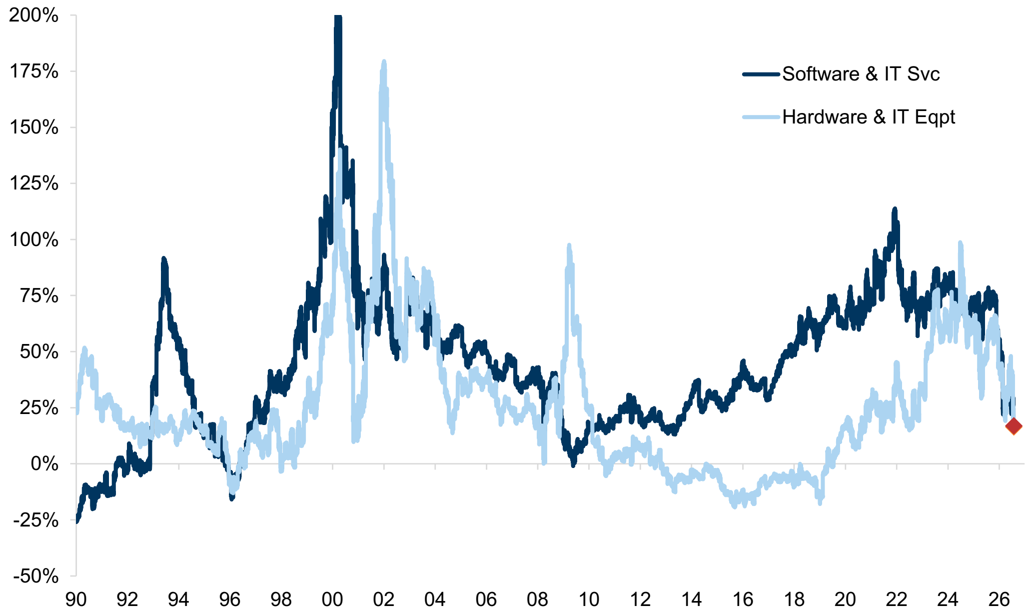
Exhibit 7: Premium for Top 5 stocks has almost disappeared
S&P 500 12m forward P/E multiple



Source: Datastream, Goldman Sachs Global Investment Research

The hyperscaler valuation convergence has been matched by a sharp de-rating in the relative valuation of Software stocks – among the biggest winners in the past Technology cycle – now at the epicenter of concerns about disruption. The sector's P/E premium globally has fallen to around 20%, a far cry from the near 200% at the start of this century. Performance leadership within the Tech space shifted from Software to Hardware, where the memory and chip stocks have seen explosive demand for compute, driving a surge in their earnings growth. Nonetheless, the cyclicality of these businesses – and the risk that their earnings are not sustainable – has driven them to de-rate too (Exhibit 8).

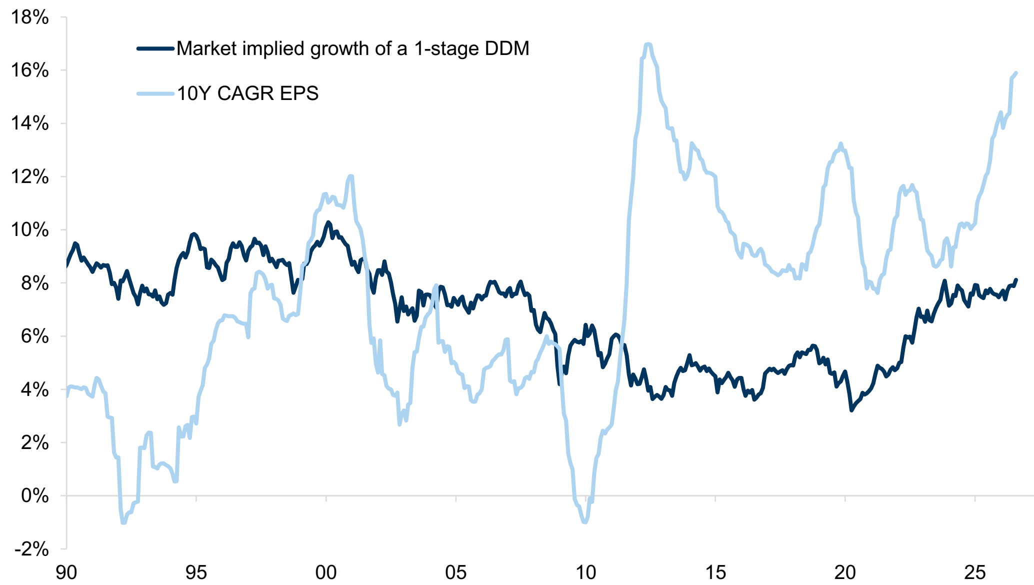
Exhibit 8: Software valuations have de-rated sharply from past extremes
Premium/(Discount) on 12m forward P/E vs. World ex. TMT. Global Sectors



Source: Datastream, Goldman Sachs Global Investment Research

While valuations have moderated, particularly on a P/E basis, implied future growth has been rising. A simple proxy, using a one-stage DDM, illustrates the increase in expectations for the sector since 2020. Nonetheless, forward implied growth remains well below the levels reached at the peak of the dot.com era, while the 10-year CAGR of earnings growth has accelerated well beyond the 2000 peaks (Exhibit 9). **Across Technology, there does not appear to be a valuation bubble, but there may be an earnings bubble. Investors have reflected these concerns and there is Value that is emerging.**

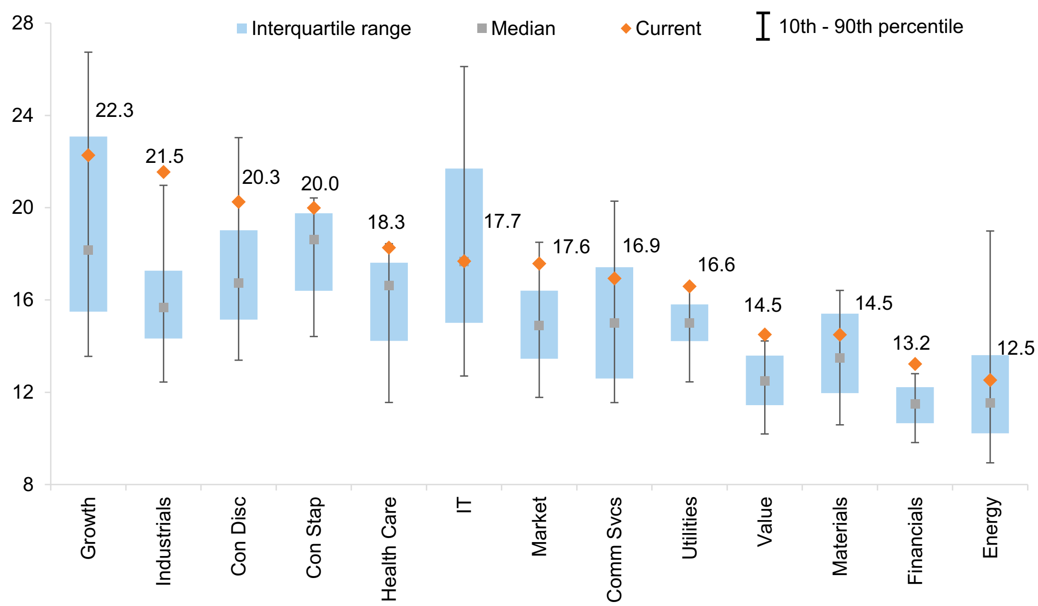
Exhibit 9: Implied growth has risen, but remains below dot.com era peaks
US Technology sector: one-stage DDM implied growth (ERP fixed at 4.0%) and 10-year rolling EPS CAGR



Source: Datastream, Goldman Sachs Global Investment Research

7. While Technology has de-rated, other parts of the market have seen a re-awakening of interest. The enormous scale-up in Tech capex by the hyperscalers and chip companies, coupled with increased government borrowing to fund improvements in Energy security, critical infrastructure and defense, has led to the start of a capex 'super cycle'. The spillover effects of this have boosted the growth prospects and valuation of many 'old economy' industries that had been neglected for so long by investors seeking long duration growth. Looking at current global valuations by sector re-levels this shift. In Exhibit 10 the orange diamonds are current valuations, which are compared with the mean over 20 years and the ranges. **Industrials now have the highest sector valuation (which has risen to above its 20-year range), whereas Technology has de-rated from being the most expensive sector to now in line with its 20-year average.** Consumer staples, Discretionary and Healthcare are all now more highly valued that IT or communication services (at least on a P/E basis, though Tech is more highly valued on FCF multiples given the huge spending needs in the sector).

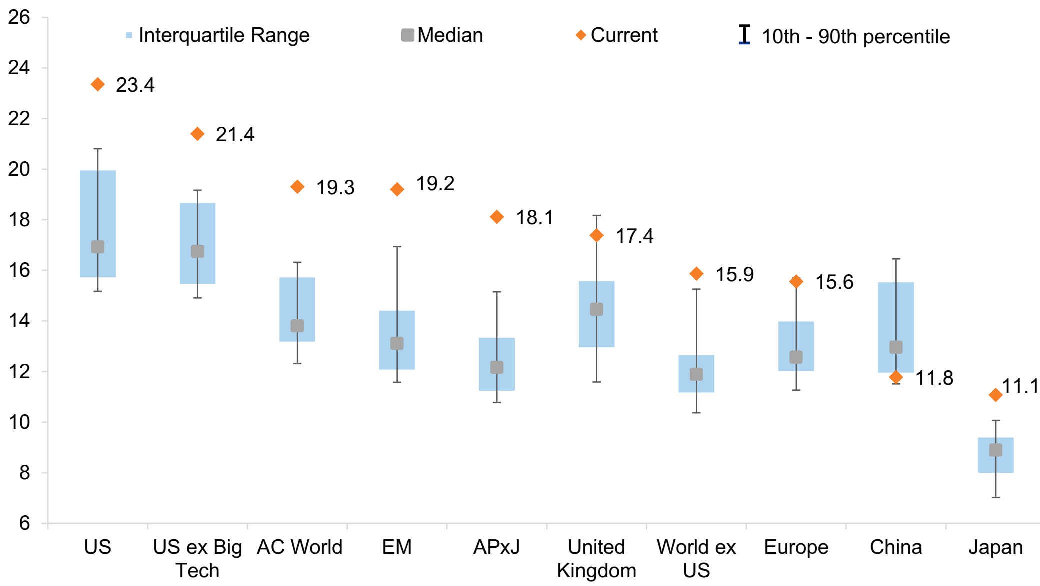
Exhibit 10: Industrials now trade at higher valuations than Technology
MSCI World sector/style valuations, 12-month forward P/Es relative to the last 20 years



Source: Factset, Datastream, Goldman Sachs Global Investment Research

8. At the country level too, opportunities to broaden exposure have been increasing. The hit to the biggest stocks and the largest sector in the US (despite strong earnings) has led to a lower P/E ratio, despite the US remaining by far the most attractive from an ROE perspective. Only China, among the major markets, has an ROE below its historical average (Exhibit 11). It is enjoying a boom in exports and is a major competitor to the US in Technology but has much lower profitability and returns. This lower rating gives investors an opportunity to re-engage with the US equity market while being selectively diversified across regions.

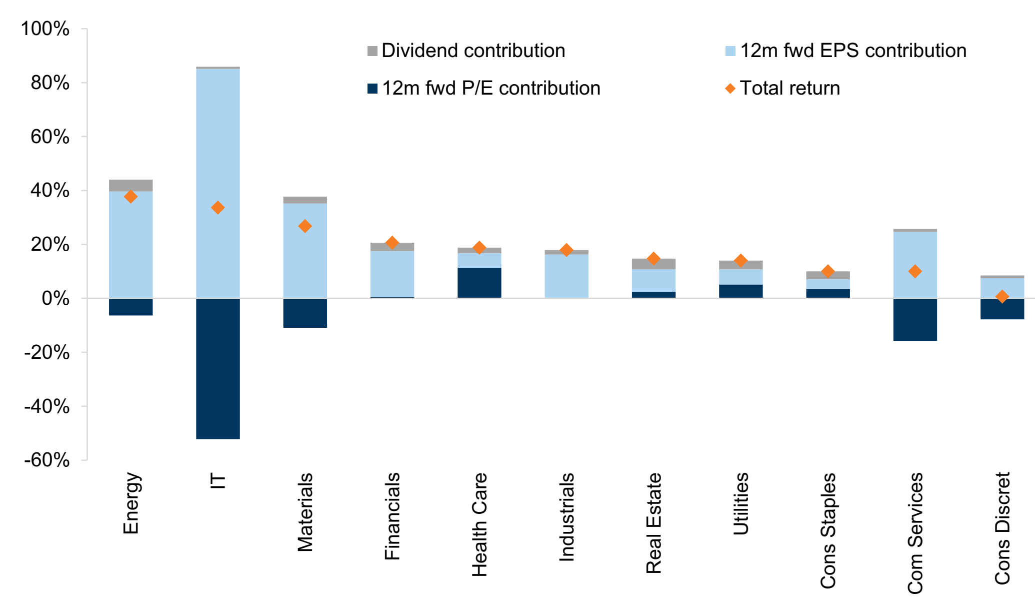
Exhibit 11: ROE remains elevated across most regions except for China
12m fwd ROE Regional Valuation Range



Source: Factset, Goldman Sachs Global Investment Research

9. The reversal in momentum, and the shifts in country and sector leadership are also being reflected in a rise in alpha opportunities across all major regions. This shift in leadership, accelerated by the recent momentum unwind, is leaving opportunities for investors to add alpha. For example, the IT sector has continued to enjoy the strongest earnings growth this year and has seen the biggest de-rating, whereas Energy has performed better but seen lower earnings growth (Exhibit 12). The opportunity to selectively find value in growth areas is rising.

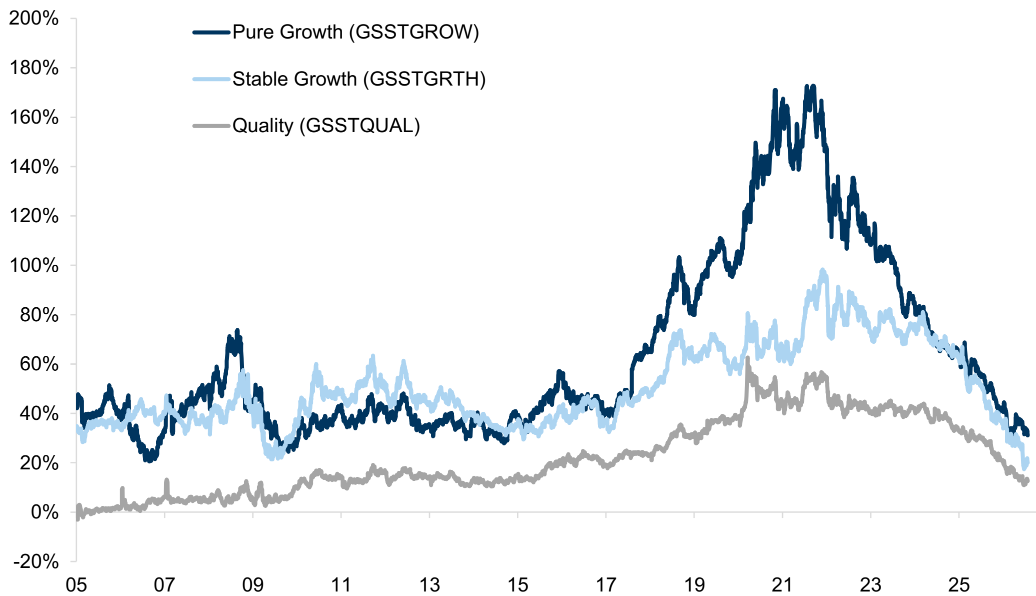
Exhibit 12: Strong earnings growth has not prevented a de-rating in Technology
MSCI AC World 12m trailing return contribution by sector/style in USD



Source: Factset, STOXX, Goldman Sachs Global Investment Research

By contrast, Consumer staples and Consumer discretionary have seen the poorest returns. Growth and quality have lost much of their premium, while more value-oriented sectors and HALO stocks have outperformed. Exhibit 13, for Europe, illustrates a broader trend of the de-rating that has taken pace in pure growth (our basket GSSTGROW), as well as in low volatility growth (GSSTGRTH) and quality (low volatility, strong balance sheet companies – GSSTQUAL).

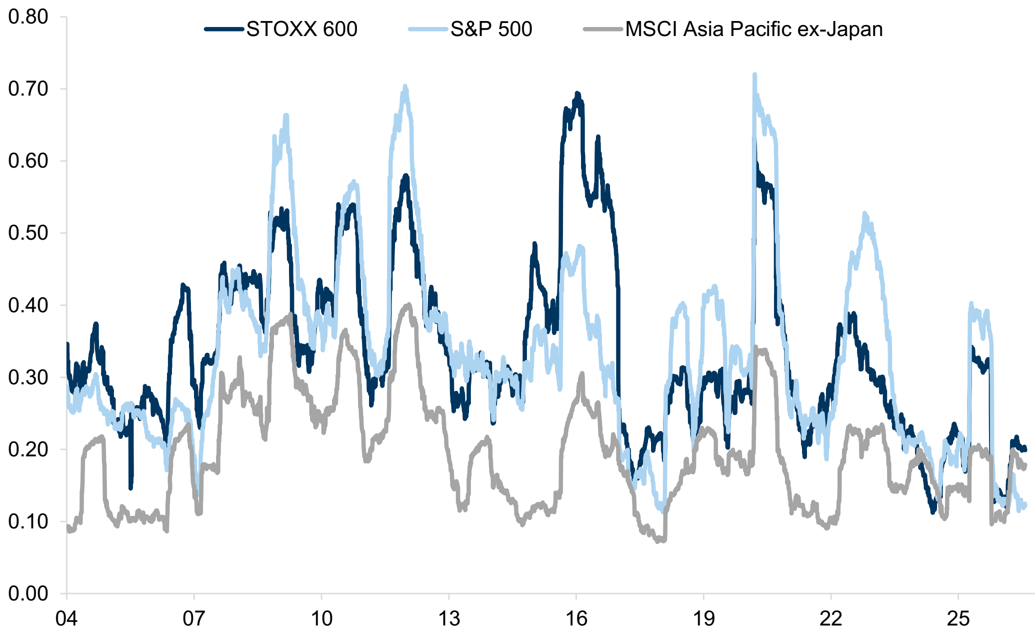
Exhibit 13: Quality and Growth areas have de-rated sharply
24m P/E discount vs. SXXP



Source: FactSet, Goldman Sachs Global Investment Research

10. Across the major markets, stock correlation (how much pairs of companies move together) has fallen (Exhibit 14). Not only is there a wider range of geographical, sector and factor opportunities, but even within sectors stocks are reflecting more idiosyncratic factors. While there are big moves among single stocks, these can often offset each other and volatility at the index level remains low even with the painful rotations in AI stocks and in momentum. This reflects a healthy departure from an asset class that exhibited record concentration of market capitalization as well as performance. We view this as a healthy normalization following years of very high concentration in both market capitalization and performance.

Exhibit 14: Pairwise correlation remains low
6m Average Pairwise Correlation



Source: Bloomberg, Goldman Sachs Global Investment Research

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